

Olevel economics

chp:- Demand and Supply

Topic:- changes in quantity supplied and
changes in supply

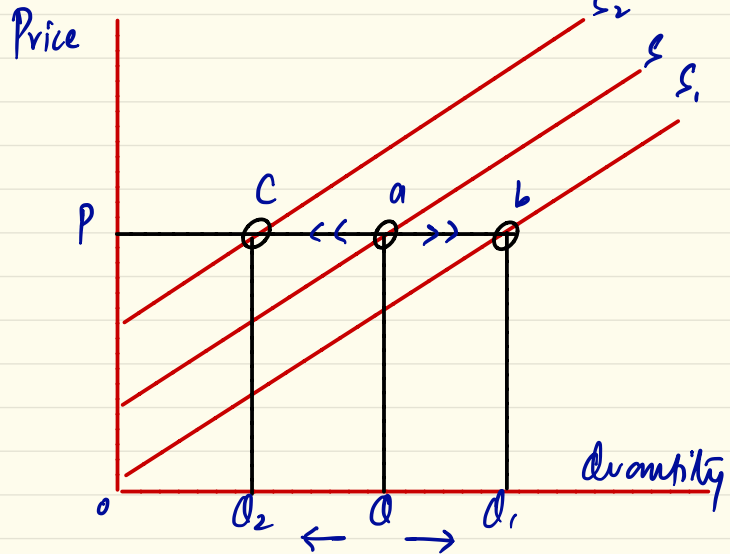
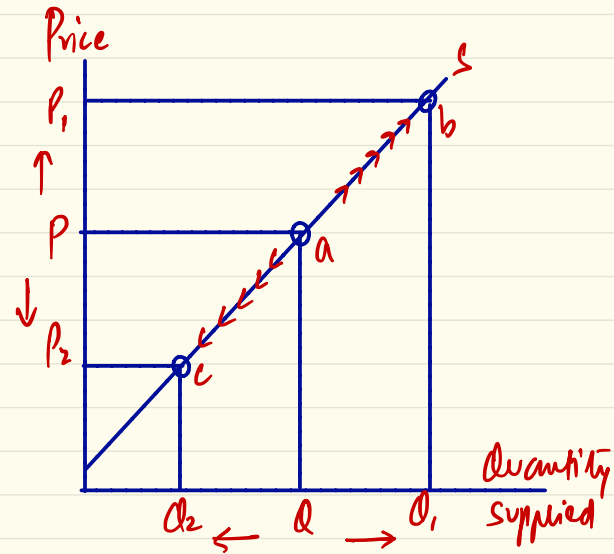


Zaraik
Nushtaq

Changes in Quantity supplied

(vs)

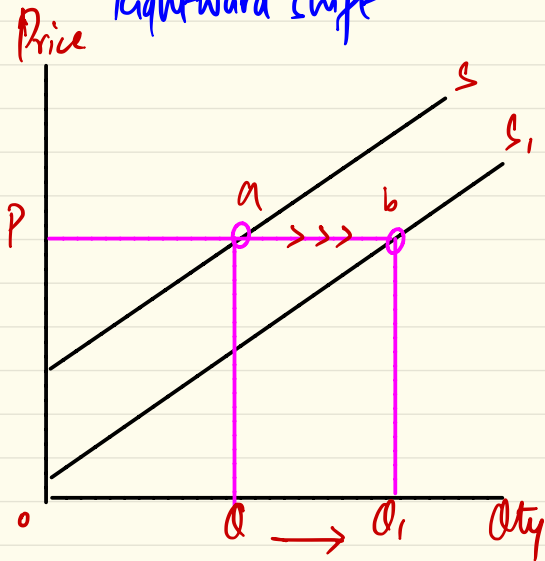
Changes in supply



Note:- Changes in quantity supplied is due to changes in price, an increase in price extends quantity supplied and a decrease in price contracts quantity supplied. While changes in supply is due to other factors, causing shift in supply that can be rightward or leftward. Example can be changes in cost of production.

Increase in supply
or

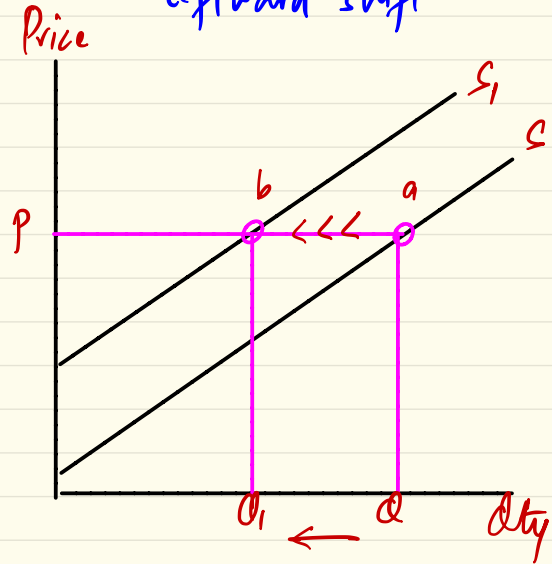
Rightward shift



vs

Decrease in supply
or

leftward shift



Questions

Marks: 8

- Q1 Using diagrams, explain the difference between changes in quantity supplied and changes in supply? 6 (Movement vs Shift)
- Q2 Using a diagram, show the effect of increase and decrease in supply? 2